Economics - Undergraduate Level Assessment 2 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. If Matt's total utility from consuming bratwurst increased at a constant rate, no matter how many bratwurst Matt consumed, what would Matt's demand curve for bratwurst look like?
   (a) Linearly increasing
   (b) Inverted U-shape
   (c) Horizontal
   (d) Upward sloping
   (e) Vertical

2. Enumerate the cause of the long-and short-run farm problems.
   (a) High elasticity of demand and supply
   (b) Decline and instability
   (c) Lack of technological progress

3. What does the Harrod-Domar model, taken with the Keynesian theory of savings, imply for the growth rates of poor countries?
   (a) Rich and poor countries will experience the same growth rates regardless of savings rates
   (b) Poor countries will have fluctuating growth rates independent of savings
   (c) The level of technology determines growth rates, not savings
   (d) The level of income has no impact on savings
   (e) Savings have no correlation with growth rates in any country

4. The real interest rate is
   (a) the anticipated inflation rate plus the nominal interest rate
   (b) the nominal interest rate multiplied by the inflation rate
   (c) what one sees when looking at bank literature
   (d) the anticipated inflation rate minus the nominal interest rate
   (e) the nominal interest rate minus anticipated inflation

5. An increase in corporate optimism will have which of the following effects in the market for loanable funds?
   (a) A decrease in both supply and demand and an ambiguous change in interest rates.

(b) An increase in supply lowering the interest rate.
(c) A decrease in demand increasing the interest rate.
(d) An increase in demand increasing the interest rate.
(e) A decrease in supply increasing the interest rate.

True / False (10 marks)

Answer True or False

6. True or False: Stagflation is characterized by a leftward shift in the aggregate supply curve, leading to rising prices and stagnant output.

7. True or False: The increase in real GDP per capita from $20,000to$21,000 represents a 5 percent increase in the standard of living.

8. True or False: In the long run under perfect competition, price is greater than marginal cost but less than average total cost (P > MC > ATC).

9. True or False: For an autoregressive process to be stationary, the roots of the characteristic equation must all lie outside the unit circle.

10. True or False: A negative externality exists when spillover benefits are received by society, resulting in total welfare maximization.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the implications of the condition P = MC in the context of monopolistic competition, analyzing its effects on pricing, output decisions, and market efficiency.

12. Discuss how a poll tax of $2 per head exemplifies a regressive tax system, and analyze its implications on individuals with varying income levels.

End of Paper